people were mobilized as small savings by post offices acting as agents of the Government of India and then transferred to the states (on the basis of origin of savings) as small savings loans.

These loans became the dominant source of financing for states, so dominant that by the 1990s more than 80 per cent of the borrowings by states came to be raised in the form of central loans. Loans from the market, raised in the form of state development loans, played second fiddle, making up under 20 per cent of overall annual borrowing in the 1990s.

The central planning system of India during this period treated debt like any other revenue resource. Debt raised by the Centre and states was considered par for the course and welcome.

The Constitution has a provision for the Parliament to fix limits of debt for the Centre by law (Article 292) and for state legislatures to fix limits of debt by law (Article 293). No such laws were passed by either the Parliament or state legislatures.

In fact, the Planning Commission encouraged the states to borrow as much as they could to raise their Plan size. The size of the annual Plan came to acquire a trophy status. It became a symbol of political achievement for the party in power in the state, which, in turn, gave governments the justification to pile up an increasing amount of debt while ignoring its adverse consequences.

The three decades from the start of new resource planning for funding Plans in 1969 to the turn of the century in 2000 saw an aggressive build-up of debt by states. Much of it came from the Central government. This overwhelming debt financing allowed the Centre to assume considerable control over the finances of states.

The Constitution made a clean division of taxation powers. However, there was no such clean division of expenditure powers between the Centre and states. The Concurrent List provided a big overlap, with precedence to the Centre, on subjects like economic and social planning, population